Morgan Stanley | RESEARCH

UPDATE

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China Yangtze Power Co. | Asia Pacific

SG NDR Key Takeaways

CYPC remains positioned as a high-quality defensive utility with strong cash-flow generation, declining financing costs, and increasing strategic value within a more renewable-intensive electricity system.

Key Takeaways

- CYPC's high proportion of long-term contracted electricity sales limits short-term price volatility.
- Hydropower's flexibility (30GW daily peak-shaving capacity) and environmental value should become increasingly important as China's power system evolves.
- CYPC will maintain the >70% dividend payout ratio.
- Capex during the 15th FYP will be concentrated on pumped-storage projects, expansion of existing hydropower assets, and selective strategic investments.
- After funding dividends and capex, CYPC intends to use excess cash to reduce debt and optimize its liability structure.

Hydro tariff in the LT = Energy value + capacity value + green value: Market-based electricity accounted ~36% of the company's total electricity sales in 2025. Within the market-based segment, ~98% of electricity is sold through medium- and long-term contracts. As a result, only a small proportion is directly exposed to spot-market price volatility. Management emphasized that electricity market reform should not automatically be interpreted as negative for hydropower pricing: 1) Hydropower units can start and stop rapidly, typically within approximately 10 minutes; 2) Reservoir-based hydropower offers strong peak-shaving and system-balancing capabilities; 3) Hydropower has green and environmental value through green certificates, although this value is not yet fully tradable or monetized.

Dividend policy and B/S management: CYPC will maintain at least 70% dividend payout ratio. After funding dividends and capital expenditure, the company intends to use excess cash to reduce debt and optimize its liability structure. The company's average financing cost is currently below 3%, while newly issued medium- and long-term bonds carry interest rates below 2%. This creates further potential to reduce financing costs through refinancing and liability management.

El Niño: Current forecasts suggest that a strong El Niño event may emerge in the autumn. Historically, the year following a strong El Niño event has sometimes experienced higher precipitation and stronger river inflows. Management cited the 1997–1998 period as an example, when a strong El Niño event in 1997 was followed by severe flooding in the Yangtze River basin in 1998. However, management did not indicate that this relationship is certain. Actual generation and inflow conditions will continue to depend on observed rainfall, weather patterns, and reservoir conditions.

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China Yangtze Power Co. (600900.SS, 600900 CG)

China Utilities | China

Stock Rating	**Overweight**
Industry View	**Attractive**
Price target	Rmb34.79
Up/downside to price target (%)	22
Shr price, close (Jul 14, 2026)	Rmb28.55
52-Week Range	Rmb30.79-25.38
Sh out, dil, curr (mn)	24,468
Mkt cap, curr (mn)	Rmb698,568
EV, curr (mn)	Rmb1,002,586
Avg daily trading value (mn)	Rmb2,775

Fiscal Year Ending	12/24	12/25e	12/26e	12/27e
EPS (Rmb)**	1.33	1.52	1.61	1.66
EPS (Rmb)§	1.38	1.41	1.50	1.54
Revenue, net (Rmb mn)	84,492	90,458	92,841	94,402
EBITDA (Rmb mn)	64,175	69,499	71,351	72,563
ModelWare net inc (Rmb mn)	32,496	37,140	39,445	40,530
P/E	22.2	17.9	17.7	17.2
P/BV	3.4	3.0	2.9	2.8
RNOA (%)	6.4	7.1	7.4	7.6
ROE (%)	16.1	17.7	17.6	17.0
EV/EBITDA	16.0	13.6	13.4	12.9
Div yld (%)	2.8	3.9	4.0	4.1
FCF yld ratio (%)	6.2	8.9	8.1	8.2
Leverage (EOP) (%)	139.0	118.7	102.8	88.7

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework
** = Based on consensus methodology
§ = Consensus data is provided by Refinitiv Estimates
e = Morgan Stanley Research estimates

More details

15th FYP to focus on existing hydropower expansion, pumped storage and strategic investments: 1) It plans to expand Gezhouba and Xiangjiaba by a combined 2.2GW over the next five years. The expansion is intended to address bottlenecks in the coordinated operation of the six-reservoir system, improve dispatch efficiency, and reduce water spillage. 2) Incremental investment will primarily target pumped-storage hydropower. It has approved five projects with a combined capacity of 6.8GW, which are expected to commence operations around 2030. These projects are expected to generate positive free cash flow approximately six to seven years after commissioning. 3) It will also undertake a limited number of renewable energy projects, mainly focused on integrated hydro-wind-solar development. 4) Equity investments will focus on assets in the middle and lower reaches of the Jinsha River. Such investments must offer clear strategic or operational synergies with the company's existing portfolio. The company intends to hold these investments for the long term rather than engage in secondary-market trading.

EPS accretion and strategic importance remain the key investment criterion: Management indicated that the company's current ROE is approximately 15%, while returns on new projects are expected to be lower than those of its existing hydropower portfolio. However, management emphasized that investment decisions are not based solely on project-level ROE. Continued investment is considered essential to maintaining the company's strategic importance within China's power system and preserving its bargaining power in future electricity pricing negotiations. Accordingly, management places greater emphasis on whether new projects are accretive to EPS over the long term, rather than simply maximizing ROE.

Valuation Methodology and Risks

China Yangtze Power Co. (600900.SS)

Our price target is derived from a discounted cash flow (DCF) methodology, as we believe the company can generate stable profit and cash flows from its hydropower stations. We use a WACC of 6.7% and assume no terminal growth. Our WACC reflects a corporate cost of equity of 8.8%, an after-tax cost of debt of 3% and a target debt-to-capital ratio of 36.2%.

Risks to Upside

1) Better-than-expected hydropower resources; 2) better-than-expected dividend payout ratio; 3) better-than-expected hydropower utilization hours; 4) higher-than-expected renewable energy capacity expansion.

Risks to Downside

1) Weaker-than-expected hydropower resources; 2) lower-than-expected dividend payout ratio; 3) lower-than-expected renewable energy capacity expansion.

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(as of June 30, 2026)

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	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
Stock Rating Category	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1544	42%	453	49%	29%	757	44%
Equal-weight/Hold	1577	43%	390	42%	25%	769	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	544	15%	89	10%	16%	204	12%
Total	3,668		933			1731	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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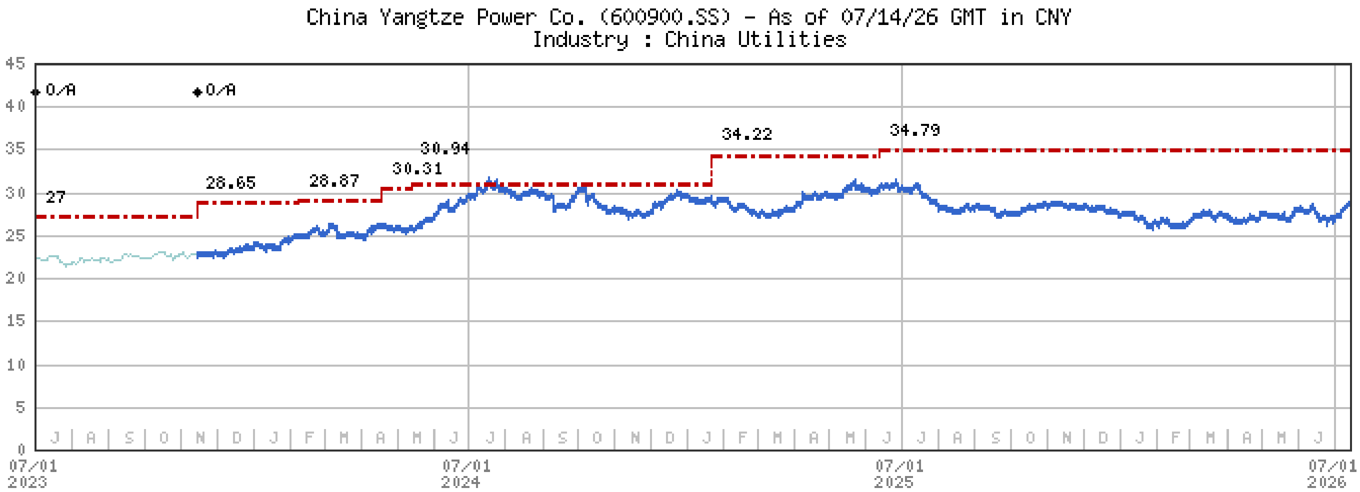
Stock Price, Price Target and Rating History (See Rating Definitions)



Stock Rating History: 7/1/21 : O/A; 11/14/23 : O/A

Price Target History: 8/12/20 : 22; 7/8/21 : 23.5; 5/23/22 : 27; 11/14/23 : 28.65; 2/8/24 : 28.87; 4/18/24 : 30.31; 5/13/24 : 30.94; 1/21/25 : 34.22; 6/12/25 : 34.79

Source: Morgan Stanley Research   Date Format : MM/DD/YY   Price Target --   No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst)   Stock Price (Covered by Current Analyst)
Stock and Industry Ratings (abbreviations below) appear as ◆ Stock Rating/Industry View
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

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INDUSTRY COVERAGE: China Utilities

COMPANY (TICKER)	RATING (AS OF)	PRICE* (07/14/2026)
Eva Hou		
CGN Power Co., Ltd (1816.HK)	E (03/21/2026)	HK$2.72
CGN Power Co., Ltd (003816.SZ)	U (03/29/2021)	Rmb3.90
China Longyuan Power Group (0916.HK)	E (01/20/2026)	HK$5.27
China Longyuan Power Group (001289.SZ)	E (08/06/2024)	Rmb15.75
China Resources Power (0836.HK)	E (03/21/2026)	HK$17.83
China Yangtze Power Co. (600900.SS)	O (11/14/2023)	Rmb28.55
Dajin Heavy Industry (002487.SZ)	O (04/18/2026)	Rmb43.70
Goldwind (002202.SZ)	U (01/20/2026)	Rmb19.17
Goldwind (2208.HK)	E (08/17/2022)	HK$9.53
Hangzhou First Applied Material Co. Ltd (603806.SS)	O (01/18/2023)	Rmb14.91
Henan Pinggao Electric (600312.SS)	O (01/18/2024)	Rmb17.33
Huaneng Power International Inc. (0902.HK)	E (06/30/2022)	HK$5.66
Huaneng Power International Inc. (600011.SS)	U (04/07/2021)	Rmb6.91
JA Solar Technology Co Ltd (002459.SZ)	E (09/02/2025)	Rmb7.08
Jiangsu Zhongtian Technology Co. Ltd. (600522.SS)	O (10/12/2020)	Rmb42.85
LONGi Green Energy Technology Co Ltd (601012.SS)	U (09/02/2025)	Rmb11.73
NARI Technology (600406.SS)	O (11/01/2015)	Rmb21.99
Ningbo Orient Wires & Cables Co Ltd (603606.SS)	O (08/17/2022)	Rmb40.73
Riyue Heavy Industry Co., Ltd. (603218.SS)	O (02/11/2025)	Rmb9.46
Shanghai Electric (2727.HK)	U (03/26/2021)	HK$3.21
Shanghai Electric (601727.SS)	U (03/26/2021)	Rmb6.59
Sieyuan Electric Co.Ltd. (002028.SZ)	O (07/01/2025)	Rmb162.00
Sinoma Science & Technology Co. Ltd. (002080.SZ)	O (09/23/2025)	Rmb72.35
Sungrow Power Supply Co. Ltd (300274.SZ)	O (06/09/2026)	Rmb108.29
Tongwei Co. Ltd. (600438.SS)	E (09/02/2025)	Rmb10.68
XJ Electric (000400.SZ)	E (03/21/2026)	Rmb19.85
Hannah Yang, CFA		
Xinyi Solar Holdings Ltd (0968.HK)	O (07/30/2020)	HK$1.97

Tom Li		
Anhui Yingliu Electromechanical Co Ltd (603308.SS)	O (04/08/2026)	Rmb53.56
China Gas Holdings (0384.HK)	E (07/10/2026)	HK$5.51
China Resources Gas (1193.HK)	E (07/10/2026)	HK$15.20
Huaming Power Equipment (002270.SZ)	O (04/08/2026)	Rmb17.90
Ningbo Sanxing Medical Electric Co. Ltd. (601567.SS)	O (04/08/2026)	Rmb13.49

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* Historical prices are not split adjusted.